



CHAPTER 26.

An Act to amend and continue the Rent and Mortgage Interest Restrictions Acts, 1920 to 1935. A.D. 1938.
[26th May 1938.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

1. The principal Acts shall continue in force until the twenty-fourth day of June nineteen hundred and forty-two. Continuation of Acts.

2.—(1) Subject to the provisions of this Act relating to registration, the principal Acts, as from the twenty-ninth day of September nineteen hundred and thirty-eight, shall not apply to any dwelling-house unless it is a dwelling-house to which they applied immediately before the passing of this Act or then formed part of such a dwelling-house, and it is also a dwelling-house of which the rateable value on the appointed day did not exceed— Decontrol of certain houses.

- (a) in the metropolitan police district or the city of London, thirty-five pounds;
- (b) in Scotland, thirty-five pounds;
- (c) elsewhere, twenty pounds.

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(2) Where part of a dwelling-house to which the principal Acts applied immediately before the commencement of this Act was on the sixth day of December nineteen hundred and thirty-seven lawfully sublet and occupied as, or vacant and to let as, a separate dwelling, the rateable value of the whole dwelling-house on the appointed day shall be treated for the purposes of subsection (1) of this section (but not for the purposes of any other provision of this Act) as not having exceeded the respective amount mentioned therein, if, after subtracting the rateable value on the appointed day of the said part, it would not exceed that amount.

Where the rateable value on the appointed day of the whole of a dwelling-house is by virtue of this subsection treated as not having exceeded a particular amount, then, so long as the principal Acts continue to apply to that dwelling-house, the rateable value on the appointed day of any dwelling-house which forms part thereof shall, irrespective of the actual facts, also be treated as not having exceeded that amount.

(3) The transitional provisions set out in the First Schedule to this Act (being certain transitional provisions of the Act of 1933 adapted for the purposes of this Act) shall have effect in relation to dwelling-houses to which the principal Acts cease to apply by virtue of this section.

Discontinu-
ance, except
in certain
cases, of
system of
decontrol on
landlord
recovering
possession.

3.—(1) Save as provided in this and the next succeeding section, section two of the Act of 1923 (which provides for the exclusion of dwelling-houses from the application of the principal Acts on the landlord recovering possession and in certain other cases) shall cease to have effect.

(2) Notwithstanding anything in the preceding subsection, the said section two shall apply to any dwelling-house of which the rateable value on the appointed day did not exceed the respective amount specified in the last preceding section if—

- (a) it consists of a part of premises whereof the rateable value on the appointed day did exceed that amount; and
- (b) the letting which constituted it a separate dwelling-house to which the principal Acts apply

was a subletting effected by a person who at A.D. 1938,
the date of the subletting—

(i) was entitled by virtue of the Rent Restrictions Acts to retain possession of the premises in which it was comprised; or

(ii) would have been so entitled if he had not then had some other right to retain possession,

and shall also apply to any dwelling-house to which the principal Acts would have ceased to apply under the last foregoing section but for the provisions of subsection (2) thereof.

4.—(1) If the landlord of any dwelling-house let as a separate dwelling immediately before the passing of this Act, being a dwelling-house of which the rateable value on the appointed day did not exceed the respective amount mentioned in section two of this Act, claims that by virtue of the provisions of section two of the Act of 1923 the principal Acts had ceased to apply to the dwelling-house before the passing of this Act, he shall within three months after the passing of this Act make to the council of the county borough or county district in which the dwelling-house is situated application in the prescribed form for the registration of the dwelling-house :

Provisions
as to
registration.

Provided that this subsection shall not apply to any dwelling-house whereof the rateable value on the appointed day did not exceed the respective amount mentioned in subsection (1) of section two of the Act of 1933, that is to say—

- (a) in the metropolitan police district or the city of London, twenty pounds;
- (b) in Scotland, twenty-six pounds five shillings;
- (c) elsewhere, thirteen pounds.

(2) If, in any proceedings with respect to any dwelling-house which is, or immediately before the passing of this Act formed part of, a dwelling-house to which subsection (1) of this section applies, it appears that but for the provisions of the said section two of the Act of 1923 the principal Acts would have applied to the dwelling-house and that no application has been made by or on behalf of the landlord under that subsection within the

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A.D. 1938. — time therein mentioned, the dwelling-house shall, subject as hereinafter provided, be deemed to be a dwelling-house to which the principal Acts apply :

Provided that, if, on application to the county court of the district in which the house is situated, the court not later than one year from the passing of this Act certifies that there was reasonable excuse for the failure to make application for the registration of the dwelling-house within the time aforesaid and application for registration is made within seven days after the certificate has been granted, then, if the principal Acts had ceased to apply to the dwelling-house before the passing of this Act, section two of the Act of 1923 shall, notwithstanding anything in the last preceding section, apply to the dwelling-house as if the references in the said section two to the passing of that Act were references to the date on which the application for registration is made.

(3) Subsections (3) to (5) of section two of the Act of 1933 (which relate to registration under that section) shall have effect—

(a) as if, in the proviso to the said subsection (5), for the references to subsection (2) of that section and to the passing of that Act there were, in relation to the dwelling-houses to which subsection (1) of this section applies, substituted references to subsection (2) of this section and to the passing of this Act; and

(b) as if, elsewhere in the said subsections (3) to (5), the references to that section included references to this section;

and subsection (1) of section fourteen of that Act (which confers power on the Minister of Health to make regulations) shall have effect as if the reference in paragraph (c) thereof to section two of that Act included a reference to the provisions of this section.

(4) The provisions of the last preceding section shall not affect the proviso to subsection (2) of section two of the Act of 1933 (which relates to the effect of a certificate of the county court that there was reasonable excuse for failure to register a dwelling-house under that section), but—

(a) no certificate shall be granted under that proviso after the expiration of three months from the passing of this Act;

- (b) the said proviso shall, as respects certificates granted after the passing of this Act, have effect as if at the end thereof there were inserted the words "as if references in the said section two to the passing of that Act were references to the date on which the application for registration is made."
- A.D. 1938.
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(5) The regulations of the Minister with respect to the form of application for registration under this section or section two of the Act of 1933 shall contain provisions designed to secure that any such application made after the coming into force of the regulations shall contain a statement of one or more of the grounds on which the landlord claims that, by virtue of section two of the Act of 1923, the principal Acts had, before the passing of this Act or, as the case may be, of the Act of 1933, ceased to apply to the dwelling-house.

(6) For the purposes of the proviso to subsection (2) of this section and of the proviso to subsection (2) of section two of the Act of 1933, a person shall not be deemed to have had reasonable excuse for failing to make application for the registration of a dwelling-house unless he was prevented from making the application by illness, absence from the United Kingdom or some other similar cause or the failure to make the application was otherwise attributable to some cause beyond his control.

5. Where a dwelling-house to which the principal Acts apply is part of another dwelling-house to which those Acts apply, the standard rent of the first-mentioned dwelling-house as from the twenty-ninth day of September nineteen hundred and thirty-eight shall be a standard rent ascertained by apportioning the standard rent of the second-mentioned dwelling-house, and subsection (3) of section twelve of the Act of 1920 shall apply accordingly notwithstanding that the first-mentioned dwelling-house was let as a separate dwelling on or before the first day of August nineteen hundred and fourteen or on or before the date on which the second-mentioned dwelling-house was first let.

Amend-
ment as to
standard
rent.

6.—(1) Where the rent of a dwelling-house to which the principal Acts apply is payable weekly, it shall be the duty of the landlord to provide a rent book or other similar document for use in respect of the dwelling-house.

Provision
of rent
books.

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(2) If the landlord of a dwelling-house fails to comply with the requirements of this section, he, and any person who on his behalf demands or receives rent in respect of the dwelling-house, shall in respect of each week in which the failure occurs or continues be guilty of an offence and liable on summary conviction to a fine not exceeding ten pounds.

(3) This section shall come into force on the expiration of three months from the passing of this Act.

Miscellaneous amendments.

7.—(1) If any question arises in any proceedings whether the principal Acts apply to a dwelling-house, it shall be deemed to be a dwelling-house to which those Acts apply unless the contrary is shown.

(2) In computing whether any and, if so, what increase in the rent of a dwelling-house to which the principal Acts apply is permissible under paragraph (b) of subsection (1) of section two of the Act of 1920 (which paragraph relates to increases of rent corresponding to increases in rates) the amount of any allowance made to the landlord under any of the enactments relating to allowances given where rates are paid by the owner instead of by the occupier shall be treated as part of the amount payable by the landlord in respect of rates :

Provided that this subsection shall not come into operation with respect to any dwelling-house in England until the date on which a demand for the general rate in respect thereof is first made on or after the first day of October nineteen hundred and thirty-eight, not being a demand for a sum which had already been demanded before that date.

(3) Accommodation shall not be deemed for the purposes of section three of the Act of 1933 (which relates to alternative accommodation for tenants of dwelling-houses to which the principal Acts apply) to be suitable to the needs of a tenant and his family, if the result of their occupation thereof would be that it would be an over-crowded dwelling-house for the purposes of the Housing Act, 1936.

26 Geo. 5. &
1 Edw. 8.
c. 51.

(4) A landlord who is in possession of a dwelling-house to which the principal Acts apply and who would, if a tenant were in possession thereof, be entitled to serve on him a notice of increase of rent, may serve on

any prospective tenant of the dwelling-house a notice in writing stating that the rent proposed to be charged is a rent which has been increased in accordance with the provisions of the principal Acts in the manner specified in the notice, and the principal Acts (including the penal provisions thereof) shall have effect as if the notice were a notice given under subsection (2) of section three of the Act of 1920 : A.D. 1938.
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Provided that—

- (a) if the prospective tenant does not take the dwelling-house, the notice shall have no effect ;
- (b) if the prospective tenant takes the dwelling-house, the increase of rent specified in the notice shall be operative forthwith, notwithstanding that no such period as is mentioned in subsection (2) of the said section three has expired ;
- (c) the power conferred by section fourteen of the Act of 1933 on the Minister of Health to make regulations shall extend so as to enable him to prescribe forms to be followed when notice is given under this subsection, and no notice so given shall be valid unless it complies with those regulations.

(5) Any document authorised or required by the principal Acts to be served by the tenant of a dwelling-house on the landlord thereof shall be deemed to be duly so served if it is served on any agent of the landlord named as such in the rent book or other similar document, or on the person who receives the rent of the dwelling-house ; and if for the purpose of any proceedings brought or intended to be brought under the principal Acts or the Act of 1933 (including any prosecution for an offence under any of those Acts) any person serves upon any such agent or person receiving the rent as aforesaid a notice in writing requiring him to disclose to him the full name and place of abode or place of business of the landlord, it shall be the duty of the agent or person receiving the rent forthwith to comply with the notice, and if he fails or refuses so to do, he shall be liable on summary conviction to a fine not exceeding five pounds, unless he shows to the satisfaction of the court that he did not know, and could not with reasonable diligence

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A.D. 1938. have ascertained, such of the facts required by the notice to be disclosed as were not disclosed by him.

(6) The period fixed by subsection (2) of section eight of the Act of 1923 for the recovery by a tenant or mortgagor of certain over-payments is hereby extended, in relation to payments made not earlier than six months before the passing of this Act, to two years from the date of payment.

(7) The minor and consequential amendments specified in the second column of the Second Schedule to this Act shall be made in the enactments mentioned in the first column of that Schedule.

Interpreta-
tion and
application
to Scotland.
23 & 24
Geo. 5. c. 32.

8.—(1) In this Act the expression “ the Act of 1933 ” means the Rent and Mortgage Interest Restrictions (Amendment) Act, 1933.

(2) Other expressions have the same meanings as in the Act of 1933, and subsections (2) to (4) of section sixteen of that Act shall have effect as if the references in those subsections to that Act included references to this Act.

(3) This Act shall apply to Scotland subject to the following modifications :—

(a) for any reference to the twenty-fourth day of June nineteen hundred and forty-two, there shall be substituted a reference to the twenty-eighth day of May nineteen hundred and forty-two, and for references to the twenty-eighth and twenty-ninth days of September nineteen hundred and thirty-eight, there shall be substituted respectively references to the twenty-seventh and twenty-eighth days of November nineteen hundred and thirty-eight;

(b) for references to a county borough and a county district there shall be substituted respectively references to a burgh and a county;

(c) for any reference to the Housing Act, 1936, there shall be substituted a reference to the Housing (Scotland) Act, 1935;

(d) the second column of the Second Schedule shall have effect as if—

(i) for the amendment to section eighteen of the Rent and Mortgage Interest Restrictions

26 Geo. 5. &
1 Edw. 8.
c. 51.
25 & 26
Geo. 5. c. 41.

13 & 14
Geo. 5. c. 32.

[1 & 2 GEO. 6.] *Increase of Rent and* [CH. 26.]
Mortgage Interest (Restrictions) Act, 1938.

Act, 1923, the following amendments were A.D. 1938.
substituted :—

“ In subsection (1), after the words
‘ reasonable state of repair ’, there shall
be inserted the words ‘ or shall state
‘ that the dwelling-house is not capable
‘ at a reasonable expense of being put into
‘ a reasonable state of repair ’ ”; and

(ii) in the amendment to the First Schedule
to the Act of 1933 the words “ Paragraph
(f) shall cease to have effect and ” were
omitted.

9.—(1) This Act may be cited as the Increase of Rent and Mortgage Interest (Restrictions) Act, 1938, and this Act and the Rent and Mortgage Interest Restrictions Acts, 1920 to 1935, may be cited together as the Rent and Mortgage Interest Restrictions Acts, 1920 to 1938.

Short title,
citation and
extent.

(2) This Act shall not extend to Northern Ireland.

A.D. 1938.

SCHEDULES.

Section 2.

FIRST SCHEDULE.

TRANSITIONAL PROVISIONS.

1. A person who, on the twenty-eighth day of September nineteen hundred and thirty-eight is, by virtue only of the principal Acts, tenant of a dwelling-house to which those Acts cease to apply as from the following day by virtue of the provisions of section two of this Act shall be entitled to retain possession of the dwelling-house until the date specified in a notice served upon the tenant under this paragraph by or on behalf of the landlord after the passing of this Act, and shall be so entitled in the like manner and subject to the like terms and conditions as if the principal Acts had not ceased to apply to the dwelling-house.

2. Any notice served under the last preceding paragraph shall be in writing and shall inform the tenant, either that he is required to give up possession of the dwelling-house on the date specified in the notice, or that he will be so required unless before that date an agreement for a new tenancy has been made between the tenant and the landlord, so, however, that the date specified in any such notice shall be not earlier than the twenty-ninth day of September nineteen hundred and thirty-eight, and not earlier than one month after the service of the notice.

3. The acceptance of rent or mesne profits by the landlord after the date specified in a notice served in respect of any dwelling-house under the said paragraph shall not affect the validity of the notice, and if any such notice contains or is accompanied by an offer in writing of the terms on which the landlord is willing to grant a new tenancy of the dwelling-house, and a written statement that, if the tenant retains possession of the dwelling-house after the date aforesaid without having made an agreement with the landlord on any other terms, he will by virtue of this Act be deemed to do so upon the terms so offered as aforesaid, then, if the tenant so retains possession, he shall be deemed to do so on those terms.

4. Where upon the expiration of such a notice as aforesaid a tenant ceases to be entitled by virtue of this Act to retain possession of a dwelling-house, the provisions of the Landlord and Tenant Act, 1927, shall apply in respect of the premises as if they had

been held under a lease (as defined by that Act) terminated by that notice, and if, before the expiration of the notice, either—

- (a) the tenant has, under section five of that Act, served on the landlord a notice requiring a new lease of the premises; or
- (b) the landlord has under section two or section four of that Act, served on the tenant notice that he is willing and able to grant to the tenant or obtain the grant to him of a renewal of the tenancy,

so much of the last foregoing paragraph as provides that in the circumstances therein mentioned the tenant of a dwelling-house will, if he retains possession thereof after the expiration of a notice requiring him to give up possession, be deemed to do so upon terms offered by the landlord, shall not apply.

5. Where any mortgaged property consists of or comprises one or more dwelling-houses to which the principal Acts cease to apply as from the twenty-ninth day of September nineteen hundred and thirty-eight by virtue of the provisions of section two of this Act, the principal Acts shall, until the expiration of the period of six months next after the passing of this Act, nevertheless have effect in relation to the mortgage as if those Acts had not ceased to apply to that dwelling-house or those dwelling-houses, and any question whether a mortgage is a mortgage to which those Acts apply, or whether or in what manner the principal moneys secured by a mortgage can be apportioned under subsection (5) of section twelve of the Act of 1920, shall be determined accordingly.

SECOND SCHEDULE.

Sections 7, 8.

MINOR AND CONSEQUENTIAL AMENDMENTS.

Provision to be amended.	Amendment.
Section 14 of the Act of 1920.	In subsection (2) for the words "ten pounds" there shall be substituted the words "twenty pounds".
Section 3 of the Rent Restrictions (Notices of Increase) Act, 1923.	Subsection (4) shall cease to have effect.

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Mortgage Interest (Restrictions) Act, 1938.

A.D. 1938.	Provision to be amended.	Amendment.
2ND SOK. —cont.	Section 7 of the Rent and Mortgage Interest Restrictions Act, 1923.	In subsection (1) at the end of the first paragraph there shall be inserted the following proviso :— “ Provided that, if the interest of the tenant in the dwelling-house comprised in the tenancy is determined and the sub-tenant becomes the tenant of the landlord, then, notwithstanding anything in subsection (3) of section fifteen of the principal Act (which provides that in such circumstances a sub-tenant becomes the tenant of the landlord on the same terms as he would have held from the tenant if the tenancy had continued) the maximum additional amount of rent which is allowed by this subsection to be charged in respect of the dwelling-house comprised in the sub-tenancy shall be reduced to five per cent. of the net rent thereof.”
	Section 18 of the Rent and Mortgage Interest Restrictions Act, 1923.	In subsection (1) the words down to “ a reasonable state of repair, and ” shall cease to have effect, and for the words “ the purposes aforesaid ” there shall be substituted the words “ the purposes of the principal Act and this Act.”
	Section 2 of the Act of 1933.	Subsection (1) shall cease to have effect; in subsection (2), for the words “ it is proved,” there shall be substituted the words “ it appears ”; in subsection (5), after the word “ proceedings,” there shall be inserted the words “ or on any application for that purpose made by the tenant “ or by the landlord ”; and in subsection (6) for the words “ the respective amount “ mentioned in subsection (1) of this “ section ” there shall be substituted the words “ , or is by virtue of subsection (2) “ of section two of the Increase of Rent “ and Mortgage Interest (Restrictions) Act, “ 1938, to be treated for the purposes of “ that section as not having exceeded, “ in the metropolitan police district, the “ city of London or Scotland thirty-five “ pounds, or elsewhere twenty pounds.”

[1 & 2 GEO. 6.] *Increase of Rent and* [CH. 26.]
Mortgage Interest (Restrictions) Act, 1938.

Provision to be
amended.

Amendment.

A.D. 1938.

2ND SCH.
—cont.

The First Schedule
to the Act of
1933.

Paragraph (f) shall cease to have effect, and in
paragraph (h) for the words " the eleventh
" day of July, nineteen hundred and
" thirty-one " there shall be substituted
the words " the sixth day of December,
nineteen hundred and thirty-seven."

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FOR

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